

Data Centers in *Missouri and Kansas*

Power rules, tax breaks and what nearby cities have done

Data centers are already here. “There are about 30 data centers in Kansas City, Missouri. Until this week, developers could build one in nearly any part of the city.”¹ This is where Missouri and Kansas stand on power, taxes and zoning, and what nearby cities have done.

Power: the rules changed in 2025

Missouri	Kansas
“Large-load users were defined in the order as those requiring 75 megawatts per month at peak times, a parallel to the Kansas order approved Nov. 6 by the Kansas Corporation Commission.”² The Missouri Public Service Commission describes customers who must “provide collateral in the amount of two years of minimum monthly bills”³ and pay “a monthly demand charge set at 80% of the agreed upon rate”³. Senate Bill 4, in its words: “applicable to customers who are reasonably projected to have above an annual peak demand of one hundred megawatts or more”⁴; “prevent other customer classes’ rates from reflecting any unjust or unreasonable costs arising from service to such customers”⁴	“Customers on the plan will pay a minimum monthly bill based on 80% of their contract demand, regardless of actual usage.”⁵ “The contract term will be a minimum of 12 years, plus an optional load ramp period of up to 5 years”⁵, and “any system upgrades that are necessary solely to serve the new/expanded customers will be directly assigned to the new/expanded customer”⁵

Taxes: both states offer breaks

Missouri (RSMo 144.810)	Kansas (SB 98 program)
“an exemption of one hundred percent of the state and local sales and use taxes”⁶, for projects where “The new facility project investment is at least twenty-five million dollars”⁶. The exemption “The amount of any exemption provided under this subsection shall not exceed the projected net fiscal benefit to the state over a period of ten years”⁶	“Qualified firms making a minimum investment of \$250 million and creating at least 20 new Kansas jobs within the statutory timelines may receive exemption from sales tax”⁷ “Qualified data centers are ineligible for discounted economic development electricity rates offered to other types of projects.”⁷ “Sensitive project information submitted to Commerce or KIFC is protected from public disclosure through 2030 (unless required for transparency reporting)”⁷

What nearby cities have done

Community	What happened, in their words
Kansas City, MO	“Large format uses shall not produce odors, dust, vibration, noise, spillover light, or other external impacts that are detectable beyond the property lines”⁸ “Data centers may not exceed more than 50% of the ground floor gross floor area of any building with street frontage.”⁸
Independence, MO	“Data centers are an allowed use under the site’s existing zoning, meaning no rezoning is required.”⁹ “This project will require at least 800 megawatts (MW) of power”⁹ Separately: “a temporary 180-day moratorium on new applications, permits and licenses related to data centers and battery energy storage system facilities”¹⁰ “The moratorium does not apply to the Nebius data center project”¹⁰
St. Charles, MO	“The bill defines data centers within the city’s zoning code, and clarifies that data centers are not listed for permitted or conditional use anywhere within St. Charles.”¹¹ “The 7-1 vote makes permanent a one-year moratorium on proposals that was put in place in the fall”¹¹

St. Joseph, MO	“The council agreed not to accept any more data center applications until zoning codes are updated.” ¹² “many council members agree a condition-based approach would be best when it comes to data centers” ¹²
Peculiar, MO	“The Board of Alderman reversed that decision on Monday by removing the definition from the ordinance.” ¹³ Resident Chad Buck, quoted by KSHB 41: “Small rural communities aren't ready for this and they need to get their zoning stuff in place first” ¹³
Edgerton, KS	“This project was initiated by City Council following a series of public comments received during city meetings ... regarding concerns over a data center project.” ¹⁴ “This public engagement campaign will serve as the foundation to guide the forthcoming update to the City's Unified Development Code (UDC)” ¹⁴
Leavenworth County, KS	The county's Project Bluestem file lists “DEV-26-113 DRAFT 1 Western Meadowlark Technology Park/Data Center PUD Application” ¹⁵ , including “Exhibit L - Narrow Band Frequency Analysis and Tonal Analysis” ¹⁵ and “Exhibit M - Will Serve Letters” ¹⁵

Kansas City council member Nathan Willett, quoted by KCUR: “Many times you have more community engagement to put a fast food chain on North Oak than you do an actual multi-million or half a billion dollar data center”¹

The Nash Group is the third party in the middle. We don't argue for or against a project, our fee never depends on the outcome, and we never work both sides of the same one. More sources: nashdg.com/national-data-center-resource-library. To talk: tnash@thenashdevelopmentgroup.com, (816) 213-4461.

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